

# **Antero Resources (NYSE: AR) – Stock Pitch**

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# Recommendation Snapshot

## ANTERO RESOURCES CORPORATION

NYSE: AR

*Investment Analysis — Supporting Models & Data*

**RECOMMENDATION: BUY**

### KEY DATA

|                                                           |                                          |
|-----------------------------------------------------------|------------------------------------------|
| Current Price                                             | \$37.59                                  |
| Base Case Target Price (at 6.5x — adjust in Scenario tab) | \$42.48                                  |
| Bull Case Target Price (+72.5% upside)                    | \$91.40                                  |
| Sector                                                    | Energy — Exploration & Production (E&P)  |
| Sub-Sector                                                | Appalachian Natural Gas & NGLs           |
| Market Cap                                                | ~\$11.4B                                 |
| Enterprise Value                                          | ~\$15.0B (pro forma post-HG acquisition) |

Source: Antero\_Modelv2.xlsx (team model); AR Investor Presentation (Mar 2026)

# Investment Thesis

- **Pillar 1 – Structural demand tailwind (why now):**

Demand growth through 2030 driven by +8 Bcf/d data center & power and +23 Bcf/d LNG + Mexico exports (~30% growth).

- **Pillar 2 – Step-change in cost structure from HQ acquisition:**

HQ adds inventory and reduces cash costs by ~\$0.25/Mcfe, increases margins \$0.15–\$0.20/Mcfe, and brings \$950mm PV-10 synergies.

- **Pillar 3 – Downside protection + flexibility:**

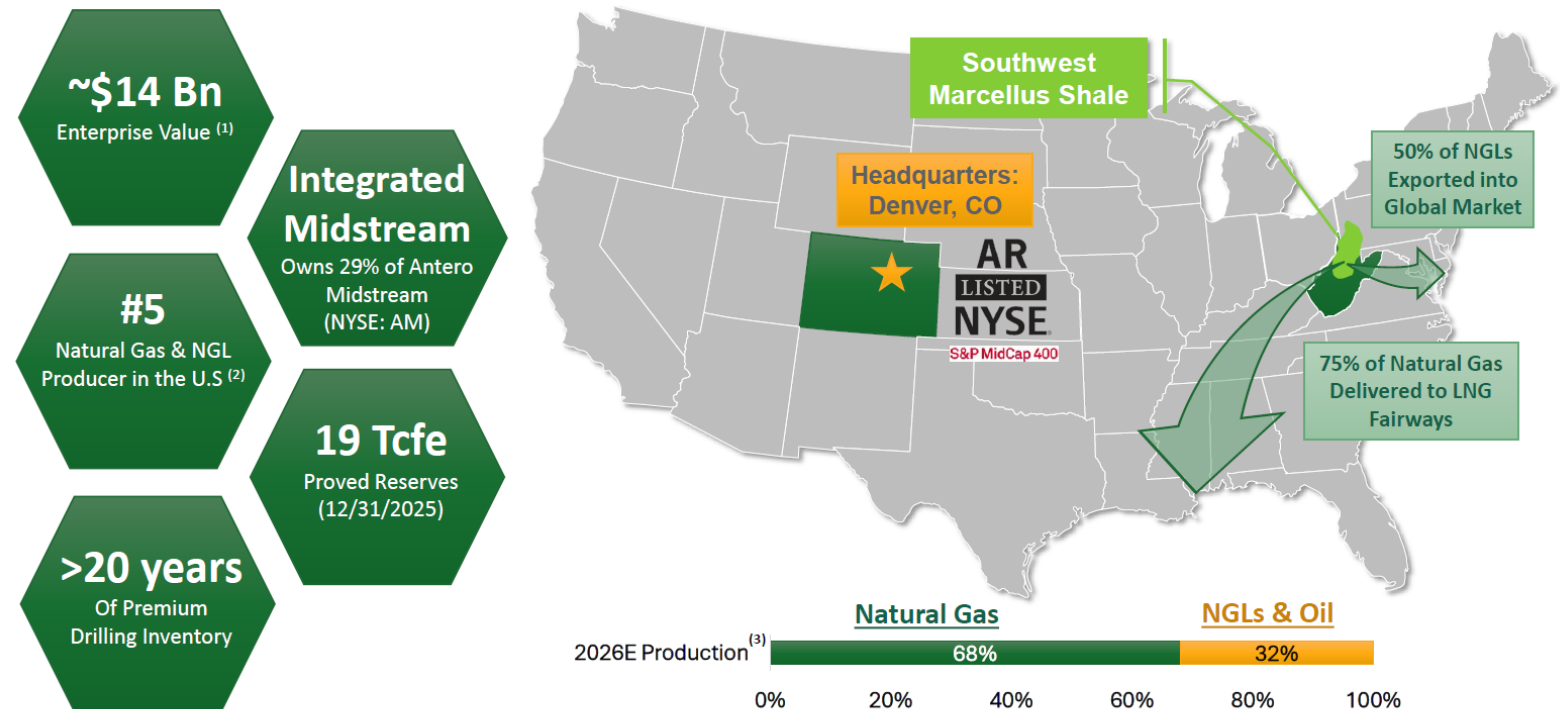
Hedge program + optional second-half growth capex (can defer/accelerate based on price signals).

- **Pillar 4 – Scale + positioning:**

~\$14bn EV, 19 Tcfe proved reserves, >20 years inventory, 75% gas to LNG fairways, 50% NGL exported, 29% ownership in Antero Midstream.

# Company Snapshot (What)

## Pure-Play Investment Grade Marcellus Producer



Antero Resources (NYSE: AR)

<sup>1)</sup> Enterprise value as of 2/26/2026.

<sup>2)</sup> Top producer ranking represents 2026E C2+ NGL guidance or consensus as of 2/26/2026.

<sup>3)</sup> Based on 2026 company guidance.

# Antero's Business: Company Overview

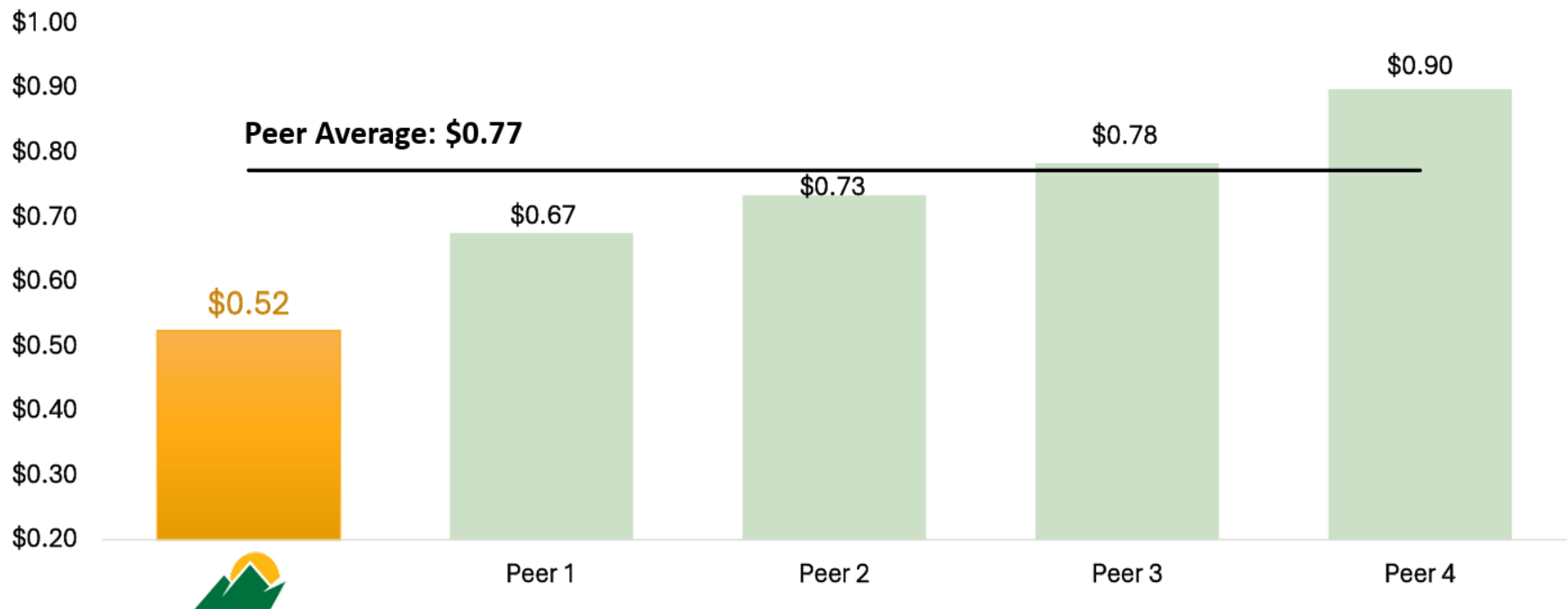
- Independent natural gas and liquids company operating with 528,000 net acres in the Appalachian Basin primarily in Marcellus Shale of West Virginia and Pennsylvania and Utica Shale of Ohio
- One of the largest U.S. suppliers of natural gas and natural gas liquids
- One of the lowest-cost natural gas basins in North America
  - Peer Group of CNX, EQT, EXE, and RRC (2025 Drilling & Completion Capital / 2025 Production)
    - Peer Capital Efficiency Average: \$0.77
    - Antero Resources Capital Efficiency: \$0.52

# Antero's Business: Capital Efficiency

## 2 Most Capital Efficient Operator

### Peer Capital Efficiency <sup>(1)</sup>

(2025 D&C Capital / 2025 Production)



Antero Resources (NYSE: AR)

Note: Information on this slide is based on public filings and calculations may not be comparable between companies.

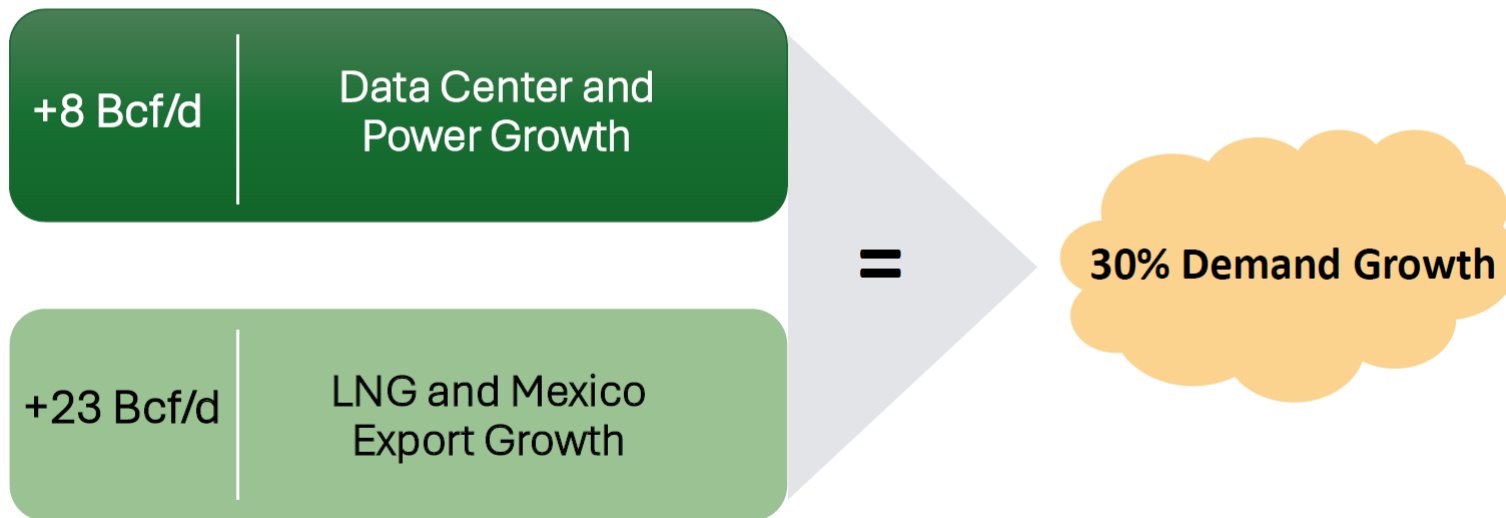
1) Represents 2025 actuals. Peers include CNX, EQT, ENE and RRC.

Source: <https://www.anteroresources.com/>, Investor Presentation March 3, 2026

# Demand Growth

## Strong Fundamental Outlook for Natural Gas

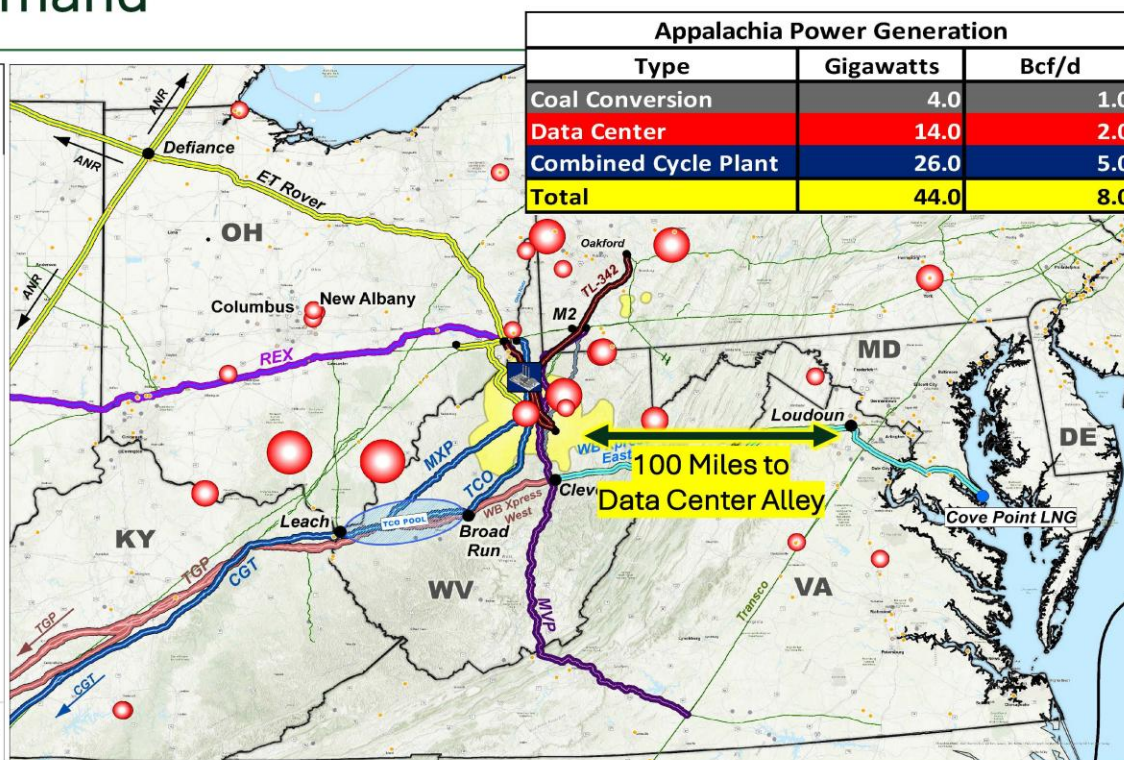
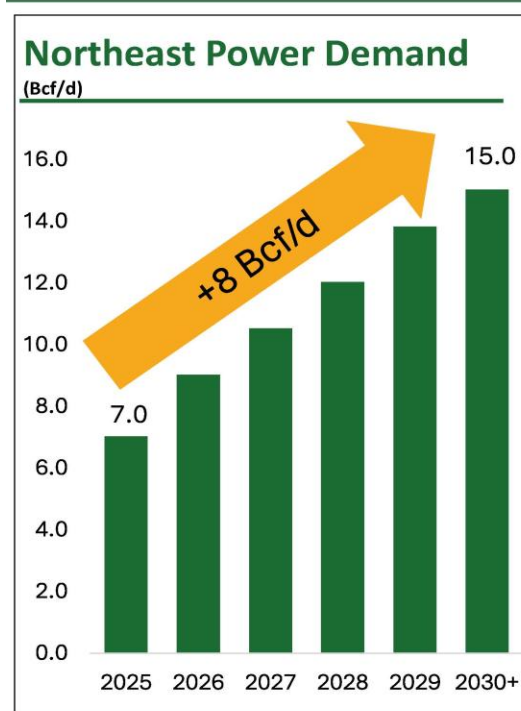
### Key Drivers of Demand Growth Through 2030





# POWER & DATA CENTER DEMAND EXPOSURE (PART 1)

## 3 ...and Power Demand



Antero Resources (NYSE: AR)

Source: 3<sup>rd</sup> Party Disclosure and Antero Estimates.

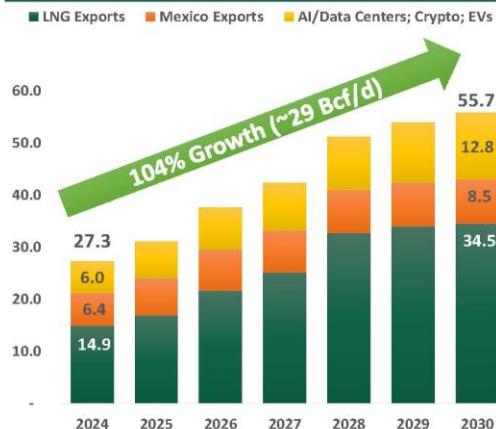
Source: AR Investor Presentation

# POWER & DATA CENTER DEMAND EXPOSURE (PART 2)

## Robust Natural Gas Demand Growth

~29 Bcf/d Demand Growth

Natural Gas Demand Forecasts  
(Bcf/d)



LNG Exports:  
+19.6 Bcf/d

AI/Data Center; Crypto; EVs:  
+6.8 Bcf/d

Mexico Exports:  
+2.1 Bcf/d

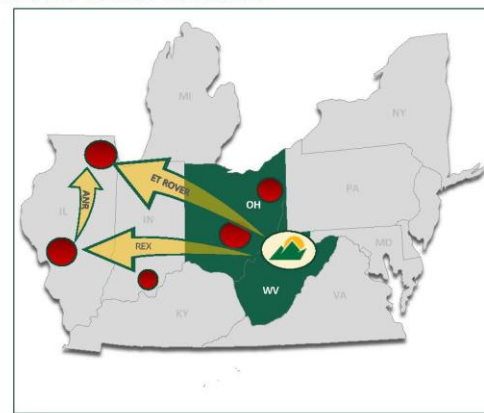
## AR Well Positioned for Data Center Demand Growth

Antero's firm transportation portfolio provides direct access to regional data center buildouts

For AI/data centers, natural gas is the only accessible power source available in abundance today

The Midwest (OH, IL, IN) will be a primary market for future data center growth

In addition, new gas-fired generation will be required to support this coming demand surge



● Depicts operating/planned data center locations

# Antero's Changing Business Structure

- The company is prioritizing an investment-grade balance sheet by using record free cash flow to target a leverage ratio **under 1.0x** by year-end 2026.
- Selling non-core Ohio Utica assets for **\$800 million** to fund a **\$2.8 billion** acquisition of HG Energy's Marcellus acreage. This move consolidates their footprint in the most liquids-rich part of the basin and extends their drilling inventory by five years.
- Increasing production growth in 2026 from 3.4 Bcf/d to 4.1 Bcf/d
- Antero is strategically positioning its dry gas production to supply the surging electricity needs of **Virginia's "Data Center Alley."** This provides a stable, "in-basin" hedge against volatile global pricing.

# HG Energy Acquisition “So What”

## Acquisition Rationale

Hand-in-glove acquisition expands AR's core liquids inventory while providing dry gas optionality for future demand from power generation and data centers

✓ **Adds Material Inventory in Marcellus Shale Core (WV)**  
*400+ additional locations that immediately compete for capital (75% liquids)*

✓ **\$950 MM in Identified Synergies**  
*Tangible synergies across development planning, drilling and completions capital and marketing*

✓ **Vertically Integrated**  
*Provides operational control of first mile infrastructure with complementary AM structure*

✓ **Reduces Breakevens & Increases Margin**  
*Reduces cost structure by ~\$0.25/Mcfe and increases margins by \$0.15 to \$0.20 per Mcfe*

✓ **Accretive to Key Metrics and Valuations**  
*30%+ accretive to operating cash flow, free cash flow and NAV per share metrics*



# COST STRUCTURE / SYNERGIES PROOF (PART 1)

## Transaction Reduces Cost Structure

The HG acquisition is expected to reduce Antero's cost structure by ~\$0.25/Mcfe

### Cost Reduction Highlights

|                                                                                                               |
|---------------------------------------------------------------------------------------------------------------|
| <b>Net Marketing Expense</b><br>Reduction in unutilized pipeline commitments                                  |
| <b>LOE</b><br>Reduced completion gaps drives lower water handling costs                                       |
| <b>Transportation Costs</b><br>Portfolio optimization + lower overall firm transport exposure                 |
| <b>Processing Costs</b><br>Increased focus on dry gas development lowers exposure to overall processing costs |

### Cash Costs (\$/Mcfe)



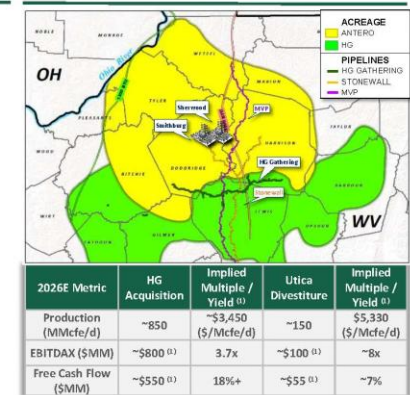
## Strategic Transactions Strengthen AR and AM

Today's transactions bolster Antero's position in the core Marcellus Shale

### Announcement Details

- +** **Acquiring HG Energy in the Core Marcellus Shale (WV)**
  - AR acquiring upstream business for \$2.8 billion + hedge book
  - AM acquiring midstream business for \$1.1 billion
- **Divesting Non-Core Utica Assets (OH)**
  - AR divesting upstream assets for \$800 million
  - AM divesting midstream assets for \$400 million

### HG Acquisition Map and Metrics



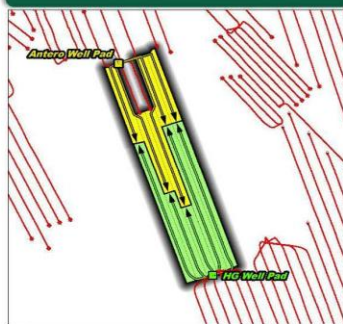


# COST STRUCTURE / SYNERGIES PROOF (PART 2)

## 2026 Pad and Land Optimization Illustrative Example

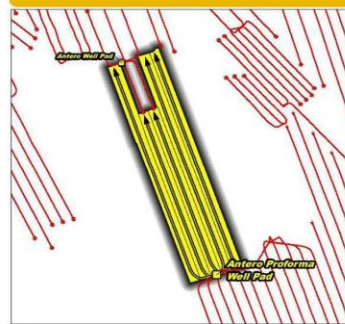
Overlapping acreage position provides clear, obtainable synergies

### Pre-Acquisition – Pad Development



| Key Stats              |            |
|------------------------|------------|
| Laterals / Pads        | 10 / 2     |
| Average Lateral Length | 9,570 feet |
| PV-10 (\$MM)           | ~\$90      |
| IRR (%)                | 47%        |

### Pro Forma Development



| Key Stats              |             |
|------------------------|-------------|
| Laterals / Pads        | 5 / 1       |
| Average Lateral Length | 19,140 feet |
| PV-10 (\$MM)           | ~\$120      |
| IRR (%)                | 81%         |

## Significant Identified Synergies

PV-10 of synergies >30% of total transaction value

### Identified Synergies

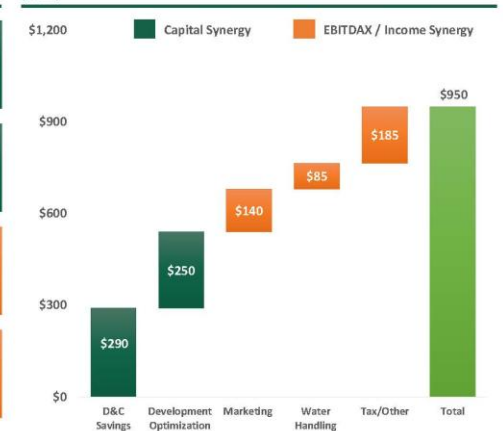
**D&C Savings:**  
Implementing AR Development Pace and gaining economies of scale on tangible costs (i.e. sand, fuel, chemicals)

**Development Optimization:**  
Overlapping leasehold drives longer laterals, pad and road capital savings and efficient leasehold development

**Marketing:**  
Firm transport optimization with ability to improve pricing netbacks and reduce unutilized FT expense

**Water Handling**  
Ability to fill completion gaps and reduce water handling expense via connecting to HG water system

### Cumulative 10-Year Savings (PV-10) (\$MM)



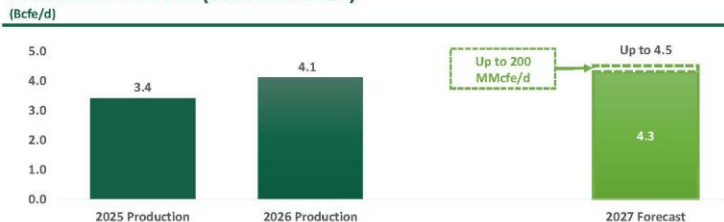
# PRODUCTION + CAPITAL PLAN (MAINTENANCE vs. OPTIONAL GROWTH)

## Production and Capital Outlook

### D&C Capital Outlook (2026) (\$MM)

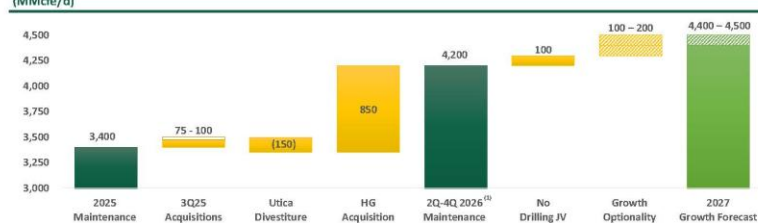


### Production Outlook (2026 and 2027) (Bcfe/d)



## Pro Forma Production and Capital Outlook

### Pro Forma Production Outlook (MMcfe/d)



### Pro Forma Capex Outlook (\$MM)

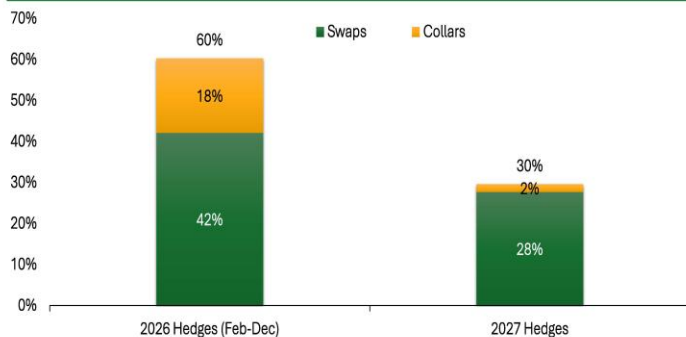


# HEDGE BOOK (DOWNSIDE PROTECTION) (PART 1)

## 5 ...With Hedge Protection

Natural Gas Hedge Position <sup>(1)</sup>

(% of Forecast Natural Gas Production)



| 2026 Hedges (Feb-Dec) |              |        |         | 2027 Hedges |            |        |         |
|-----------------------|--------------|--------|---------|-------------|------------|--------|---------|
| 2026                  | Volume       | Floor  | Ceiling | 2027        | Volume     | Floor  | Ceiling |
| Collars               | 575 BBtu/d   | \$3.25 | \$5.66  | Collars     | 80 BBtu/d  | \$3.52 | \$4.64  |
| Swaps                 | 1,286 BBtu/d | \$3.92 |         | Swaps       | 845 BBtu/d | \$3.88 |         |



Antero Resources (NYSE: AR) <sup>(1)</sup> Percent of natural gas hedged for 2026 and 2027 assumes Antero 2026 guidance and assumed 2027 held flat for each period.

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## 2026 Guidance

2026 Guidance Ranges

|                                                                                   |                                   |
|-----------------------------------------------------------------------------------|-----------------------------------|
| Net Production (Bcfe/d)                                                           | 4.1                               |
| Net Natural Gas Production (Bcf/d)                                                | 2.8                               |
| Net Liquids Production (Bbl/d)                                                    | 213,000                           |
| Net Daily C3+ NGL Production (Bbl/c)                                              | 125,000                           |
| Net Daily Ethane Production (Bbl/c)                                               | 80,000                            |
| Net Daily Oil Production (Bbl/c)                                                  | 8,000                             |
| Natural Gas Realized Price - Expected Premium to NYMEX (\$/Mcf)                   | \$0.10 to \$0.20                  |
| C2 Ethane Realized Price - Expected (Discount) / Premium to Mont Belvieu (\$/Bbl) | \$1.00 - \$2.00                   |
| C3+ NGL Realized Price - Expected Premium to Mont Belvieu (\$/Bbl) <sup>(1)</sup> | (\$0.50) - \$0.50                 |
| Oil Realized Price Expected Differential to WTI (\$/Bbl)                          | (\$12.00) - (\$16.00)             |
| Cash Production Expense (\$/Mcf) <sup>(2)</sup>                                   | \$2.35 - \$2.45                   |
| Net Marketing Expense (\$/Mcf)                                                    | \$0.02 - \$0.04                   |
| G&A Expense (\$/Mcf)<br>(before equity-based compensation)                        | \$0.11 - \$0.13                   |
| D&C Capital Expenditures (\$Bn)                                                   | \$1.0                             |
| Land Capital Expenditures (\$MM)                                                  | \$100                             |
| Average Operated Rigs, Average Completion Crews                                   | Rigs: 3.0   Completion Crews: 2.0 |
| Operated Wells Completed (Net)                                                    | Wells Completed: 70 - 80          |
| Average Lateral Lengths, Completed                                                | Completed: 14,600                 |



Antero Resources (NYSE: AR) <sup>(1)</sup>

<sup>(1)</sup> Based on Antero C3+ NGL component basis which consists of 57% C3 (propane), 4% isobutane (i-B), 46% normal butane (n-B) and 17% natural gasoline (C5+).

<sup>(2)</sup> Includes lease operating expenses, gathering, compression, processing and transportation expenses (CUP&T) and production and ad valorem taxes.

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Source: AR 4Q Earnings Call & Guidance + Hedges Presentation.



# HEDGE BOOK (DOWNSIDE PROTECTION) (PART 2)

## Antero Natural Gas Hedge Position

|                                                                                                                                                                                                                                                                                                                                                               | Natural Gas<br>(MMBtu/d) | Weighted Average<br>Index Price (\$/MMBtu) |                             |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------|--------------------------------------------|-----------------------------|
| 2026 Volumetric Production Payment Swaps (VPP) <sup>(1)</sup>                                                                                                                                                                                                                                                                                                 | 32,000                   | \$2.68                                     |                             |
| Note: Represents hedges related to the Overriding Royalty Interest (ORRI) transaction that was completed in the second quarter of 2020. The hedge gains/(losses) are recorded on Antero's financials, but are fully attributable to the noncontrolling interest in Martica and are netted out of the distributions paid to the noncontrolling interest owner. |                          |                                            |                             |
|                                                                                                                                                                                                                                                                                                                                                               | Natural Gas<br>(MMBtu/d) | Weighted Average<br>Index Price (\$/MMBtu) |                             |
| January 2026 NYMEX Henry Hub Swap                                                                                                                                                                                                                                                                                                                             | 770,000                  | \$3.90                                     |                             |
| February – December 2026 NYMEX Henry Hub Swap                                                                                                                                                                                                                                                                                                                 | 1,286,000                | \$3.92                                     |                             |
| 2026 M2 Swap                                                                                                                                                                                                                                                                                                                                                  | 10,000                   | \$3.36                                     |                             |
| 2027 NYMEX Henry Hub Swap                                                                                                                                                                                                                                                                                                                                     | 845,000                  | \$3.88                                     |                             |
|                                                                                                                                                                                                                                                                                                                                                               | Natural Gas<br>(MMBtu/d) | Floor Price<br>(\$/MMBtu)                  | Ceiling Price<br>(\$/MMBtu) |
| January 2026 NYMEX Henry Hub Collars                                                                                                                                                                                                                                                                                                                          | 500,000                  | \$3.22                                     | \$5.83                      |
| February – December 2026 NYMEX Henry Hub Collars                                                                                                                                                                                                                                                                                                              | 553,000                  | \$3.24                                     | \$5.70                      |
| 2027 NYMEX Henry Hub Collars                                                                                                                                                                                                                                                                                                                                  | 57,000                   | \$3.46                                     | \$4.62                      |

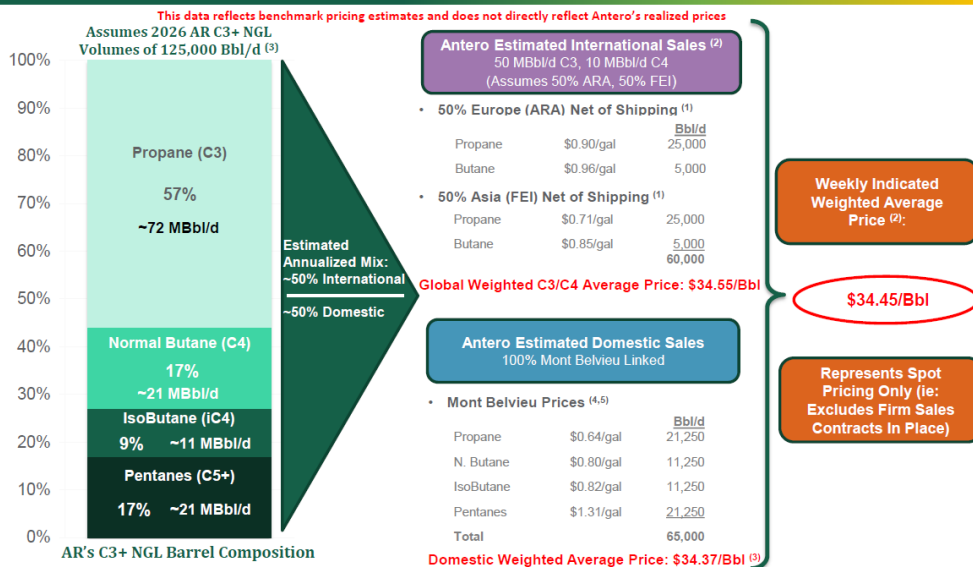
## Antero Natural Gas Hedge Position

| 2026 Basis Hedges |           | Natural Gas<br>(MMBtu/d) | Weighted Average<br>Index Price (\$/MMBtu) |                          |                         |
|-------------------|-----------|--------------------------|--------------------------------------------|--------------------------|-------------------------|
| •                 | TCO       | 100,000                  | (\$0.82)                                   |                          |                         |
| •                 | M2        | 420,000                  | (\$0.95)                                   |                          |                         |
| •                 | Dom South | 219,000                  | (\$0.99)                                   |                          |                         |
| 2027 Basis Hedges |           | Natural Gas<br>(MMBtu/d) | Weighted Average<br>Index Price (\$/MMBtu) |                          |                         |
| •                 | TCO       | 75,000                   | (\$0.78)                                   |                          |                         |
| •                 | M2        | 293,000                  | (\$0.94)                                   |                          |                         |
| •                 | Dom South | 155,000                  | (\$1.00)                                   |                          |                         |
| Three Way Collars |           | Natural Gas<br>(MMBtu/d) | Call Volume<br>(\$/MMBtu)                  | Put Volume<br>(\$/MMBtu) | Sub Floor<br>(\$/MMBtu) |
| 2026              |           | 21,000                   | \$4.67                                     | \$3.60                   | \$2.79                  |
| 2027              |           | 22,000                   | \$4.68                                     | \$3.66                   | \$2.55                  |

# NGL Pricing & Sensitivity

## Antero's C3+ NGL Composite Barrels

Weekly Benchmark Index Pricing – Net of Shipping <sup>(1)</sup>

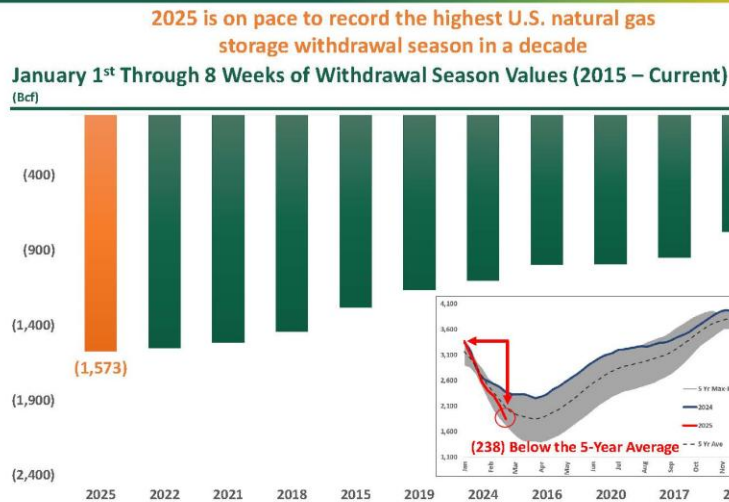


- Weekly indicated weighted average: \$34.45/bbl Weekly.
- 2026 Pricing C3+ volumes assumed: 125,000 bbl/d and mix ~50% international / 50% domestic.

<sup>1)</sup> Ice for product pricing assuming month 2 for international pricing and month 1 for shipping rates. Antero Internal Estimates for market shipping rates. See Appendix for more information.  
<sup>2)</sup> Weighted average reflects net Antero volumes shipped on Mariner East Pipeline (60,000 Bbl/d international, 65,000 Bbl/d domestic).  
<sup>3)</sup> Volumes represent Antero's previously announced 2026 C3+ NGL guidance 125,000 Bbl/d.  
<sup>4)</sup> Assumes midpoint of Antero's previously announced guidance for domestic price discount to Mont Belvieu of \$0.10/gal.  
<sup>5)</sup> Mont Belvieu prices are based on month 1 Tet prices for Propane and IsoButane and Non-Tet for N. Butanes and Pentanes.

# LNG EXPOSURE

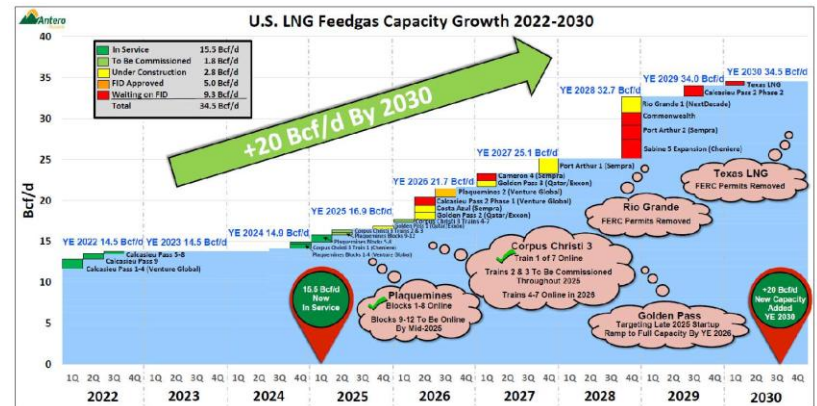
## Historic Start to 2025 Withdrawal Season



## Visible U.S. LNG Exports Will Feed Global Demand Growth

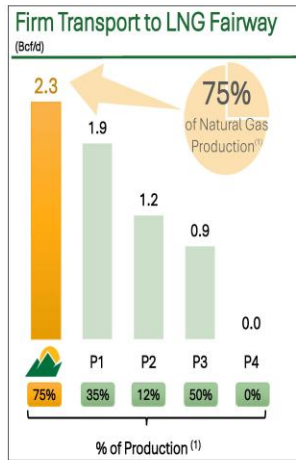
### U.S. LNG Export Capacity Through 2030

(Bcf/d)



# FIRM TRANSPORT ADVANTAGE

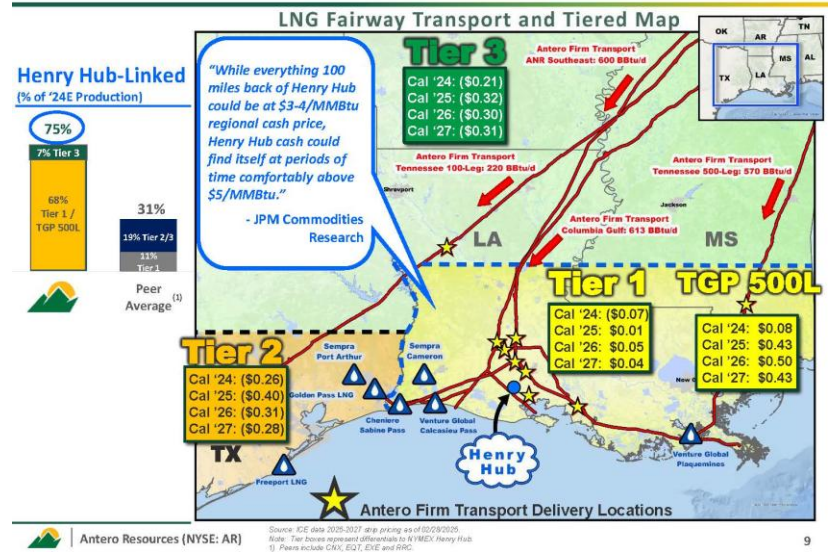
## 3 Uniquely Exposed to Both LNG...



Antero Resources (NYSE: AR) Source: Company filings and Antero estimates.  
<sup>(1)</sup> Represents percent of 2020 production. Peers include CNX, EQT, ENE and RRC.

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## Not All Transport to the U.S. Gulf Coast is Equal



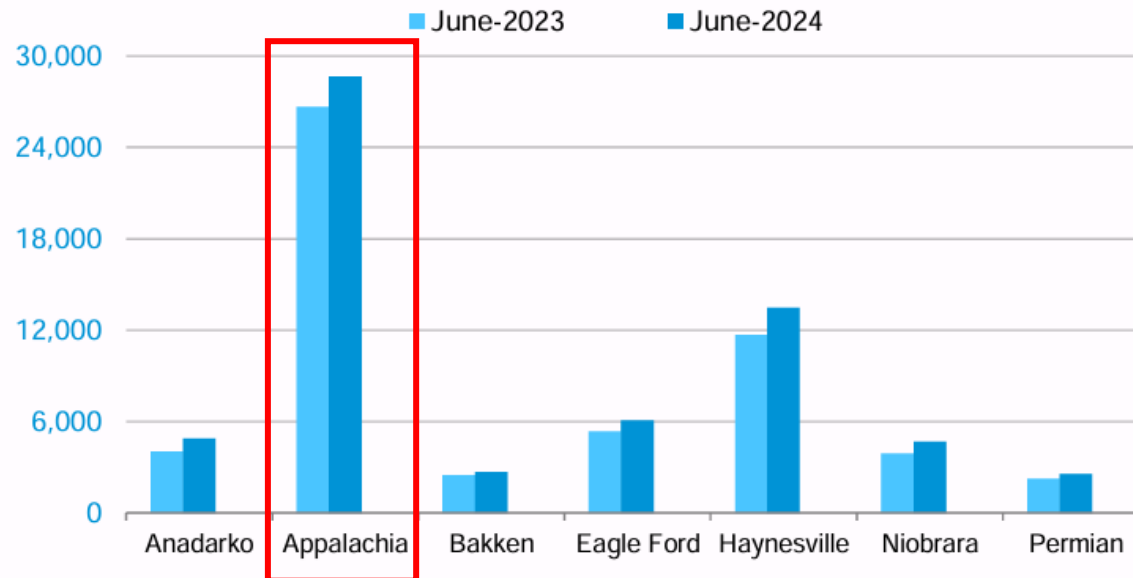
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# Industry Overview:

## Year-Over-Year Drilling Productivity Report

- Appalachia shows the highest new-well gas output per rig, highlighting strong drilling productivity and low-cost supply.
- Opportunities in advancement of horizontal drilling technology to improve productivity.

**New-well gas production per rig**  
thousand cubic feet/day



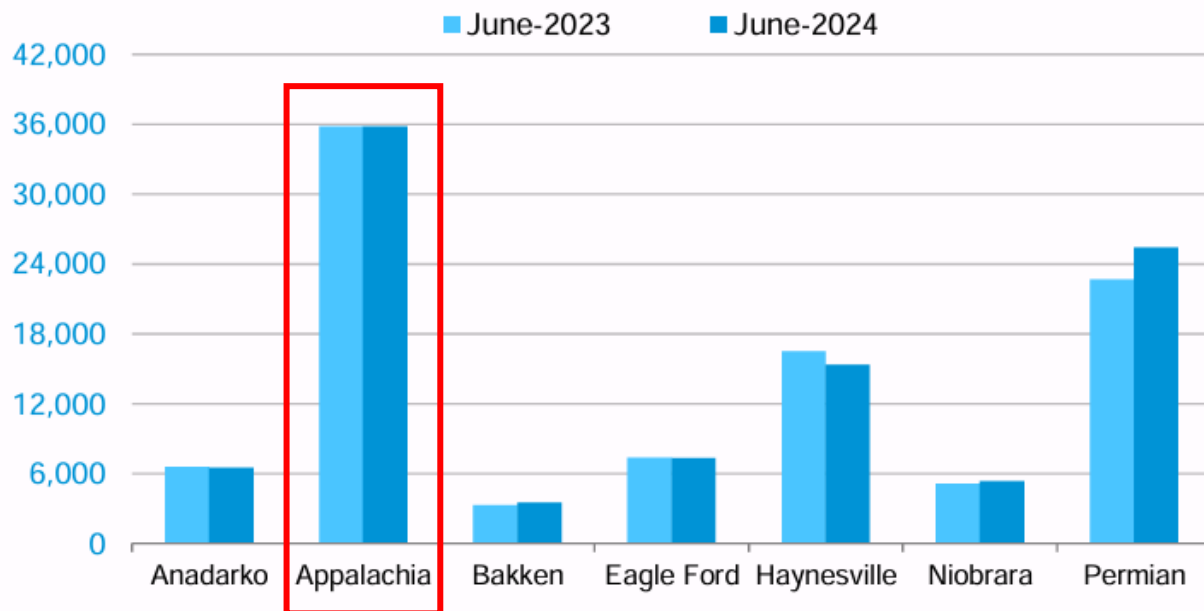
# Industry Overview:

## Year-Over-Year Drilling Productivity Report

- Appalachia remains the largest natural gas producing region in the U.S.
- Expanding Permian Basin associated gas production could challenge Appalachian market share over time.

### Natural gas production

million cubic feet/day



Source: U.S. Energy Information Administration, 2024 Drilling Productivity Report For key tight oil and shale gas regions

# Industry Overview:

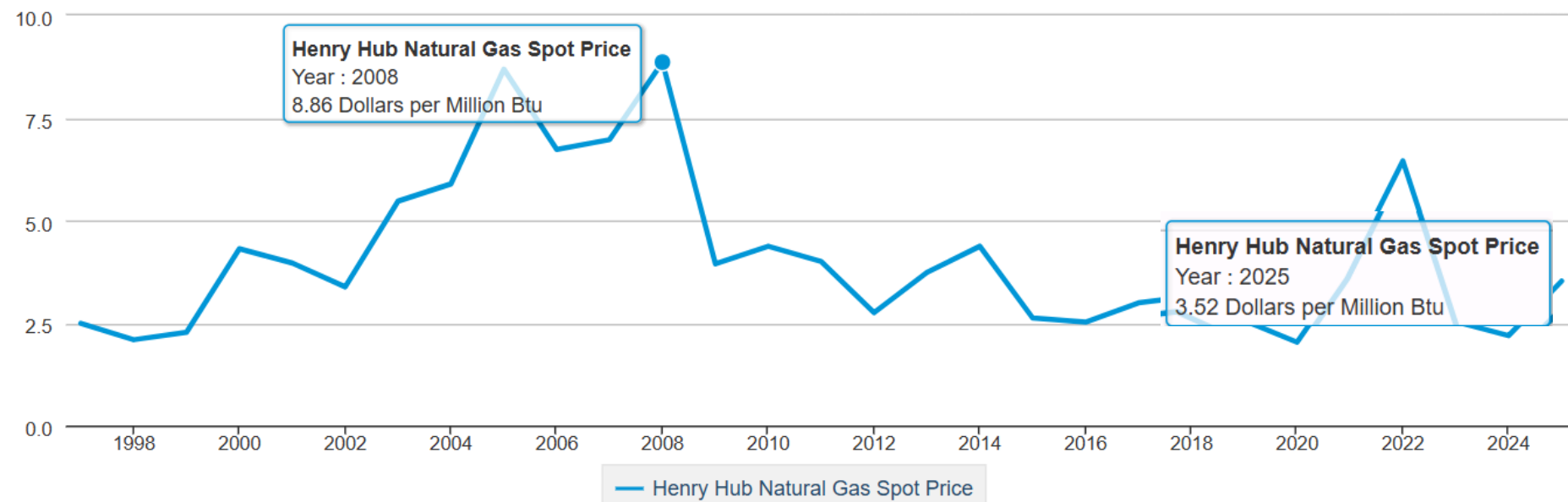
## Annual Henry Hub Spot Prices

- Natural gas prices have experienced significant volatility and remain well below its 2008 peak.
- Expanding utilization of alternative energy and oil production may limit long-term price growth for natural gas.

### Henry Hub Natural Gas Spot Price

📄 DOWNLOAD

Dollars per Million Btu



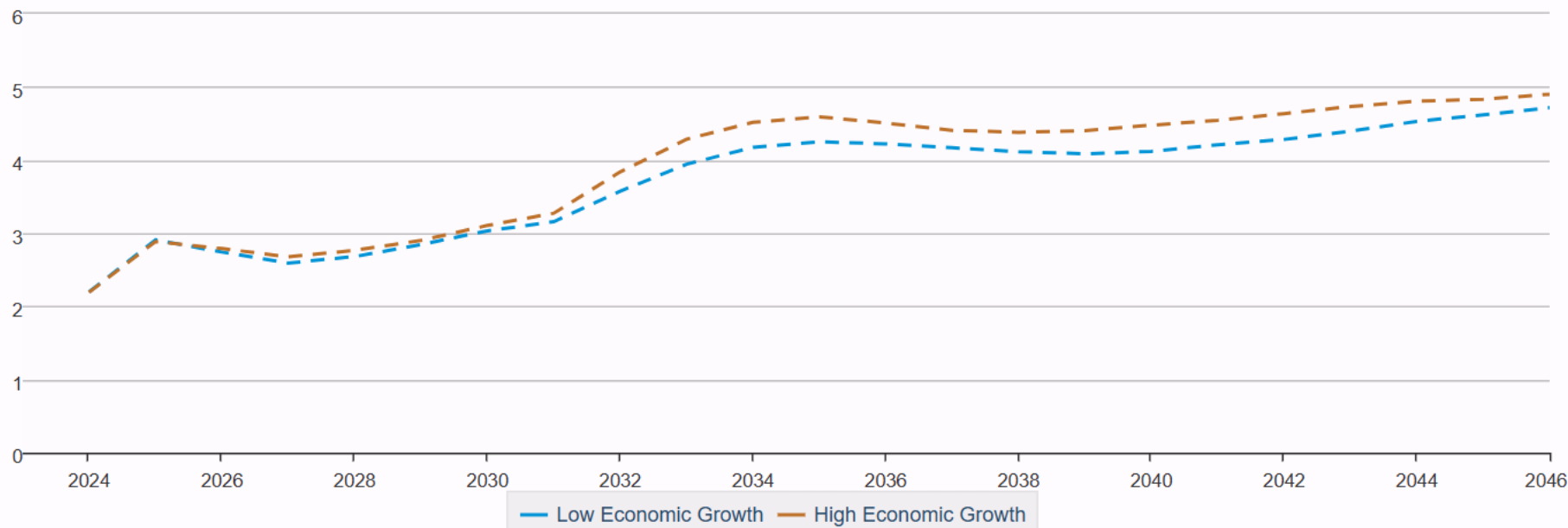
# Industry Overview: Annual Energy Outlook 2025, Henry Hub Real Prices Projected

- Real natural gas prices projections indicate a gradual recovery with the potential for further upside as demand increases in both high and low growth GDP scenarios.

AEO2025: Total Energy: Real Prices: Gas Price at Henry Hub

 [DOWNLOAD](#)

2024 \$/MMBtu



Data source: U.S. Energy Information Administration

Source: U.S. Energy Information Administration, Henry Hub Real Prices Projection



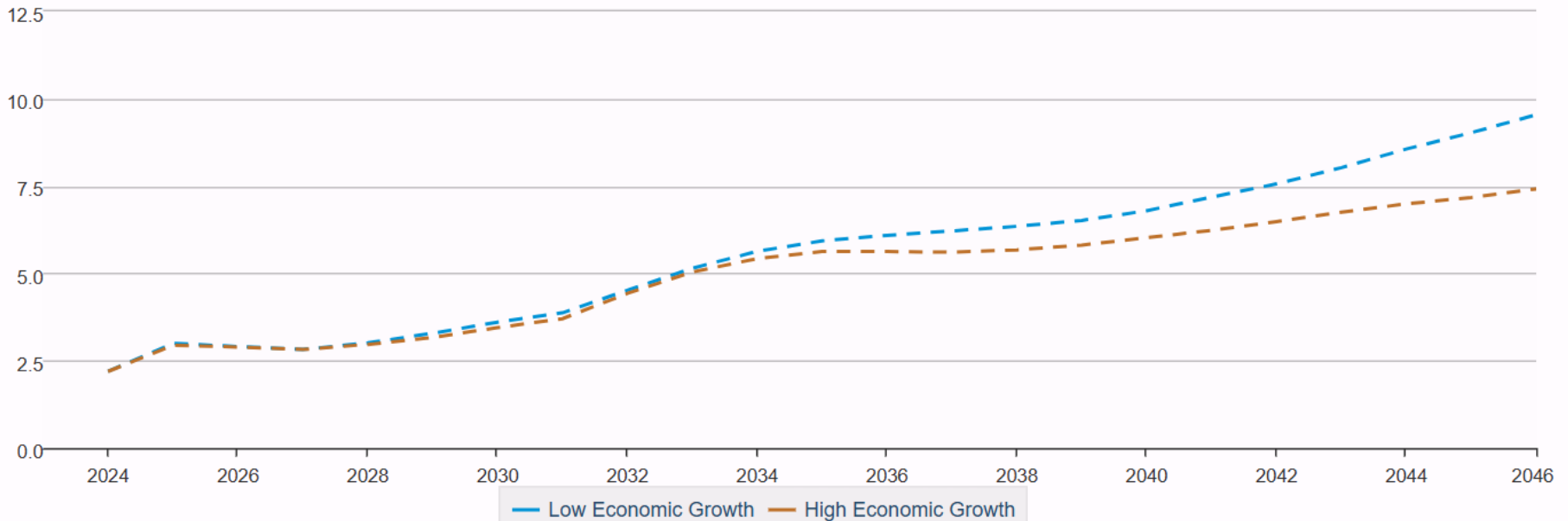
# Industry Overview: Annual Energy Outlook 2025, Henry Hub Nominal Prices Projected

- Nominal price projections increase over time across both economic scenarios, driven by inflation and continued demand for natural gas in electricity and LNG markets.

AEO2025: Total Energy: Nominal Prices: Gas Price at Henry Hub

 DOWNLOAD

nom \$/MMBtu



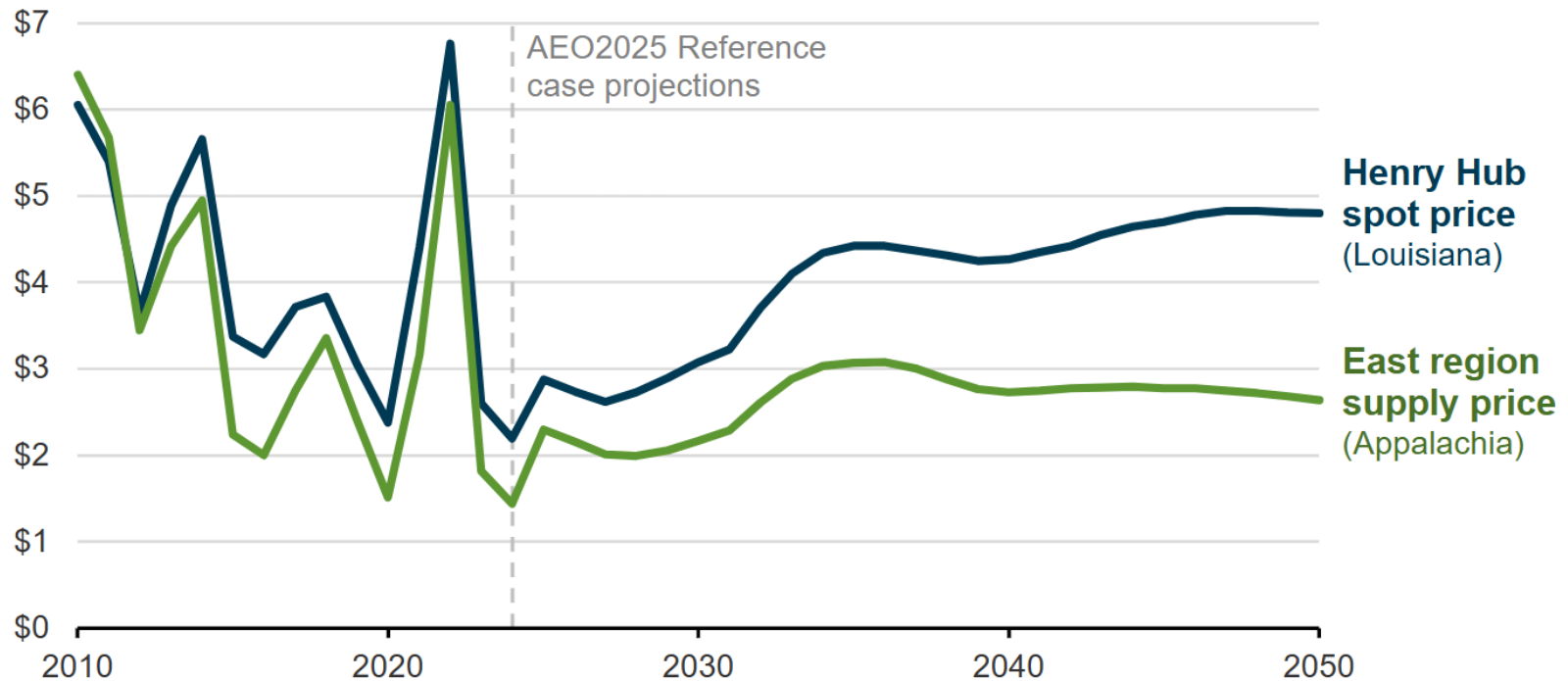
Data source: U.S. Energy Information Administration

Source: U.S. Energy Information Administration, Henry Hub Nominal Prices Projection

# Industry Overview: Annual Energy Outlook 2025, Reference Case Projections

**We project natural gas prices will be higher on the Gulf Coast, encouraging infrastructure builds that bring natural gas from the East**

**Projected annual average natural gas prices at selected hubs (2010–2050)**  
dollars per million British thermal units (real 2024 dollars)



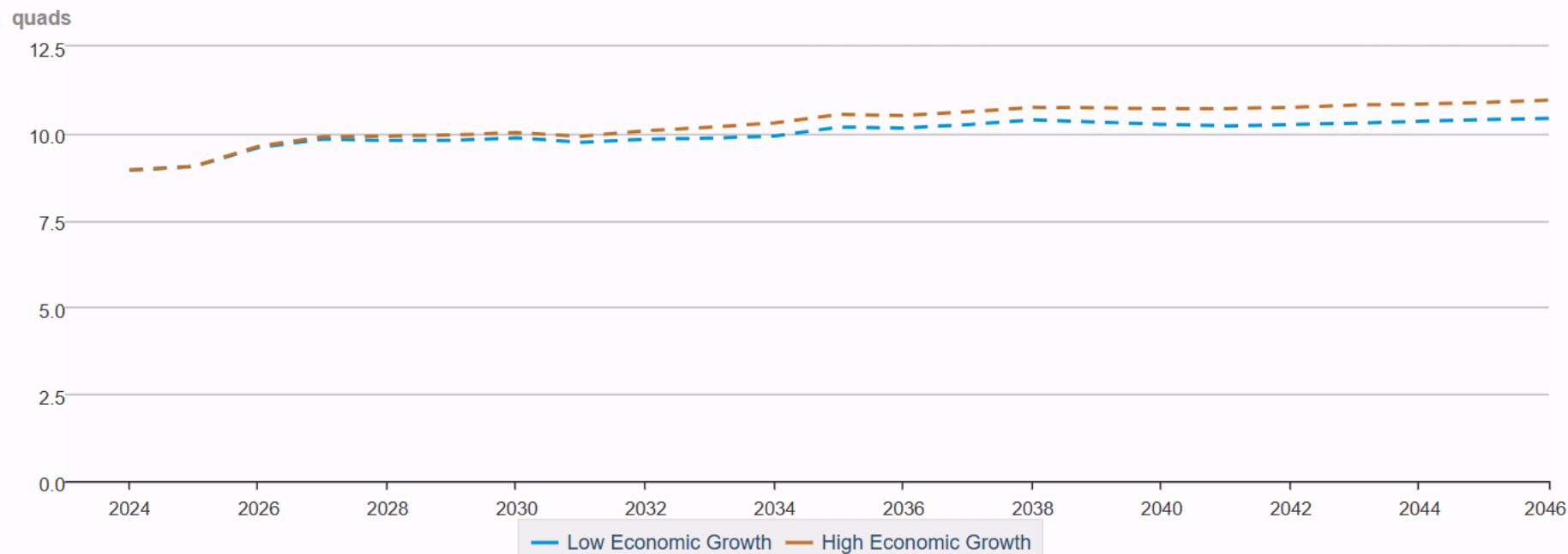
**Data source:** U.S. Energy Information Administration, [Annual Energy Outlook 2025](#) (AEO2025)

# Industry Overview: Annual Energy Outlook 2025, Total Energy Production Projected to Remain Resilient

- Energy production remains stable even in low economic growth scenarios, reflecting efficiency gains and lower costs from innovation in drilling technologies.

AEO2025: Total Energy: Production: Natural Gas Plant Liquids

 [DOWNLOAD](#)



Data source: U.S. Energy Information Administration

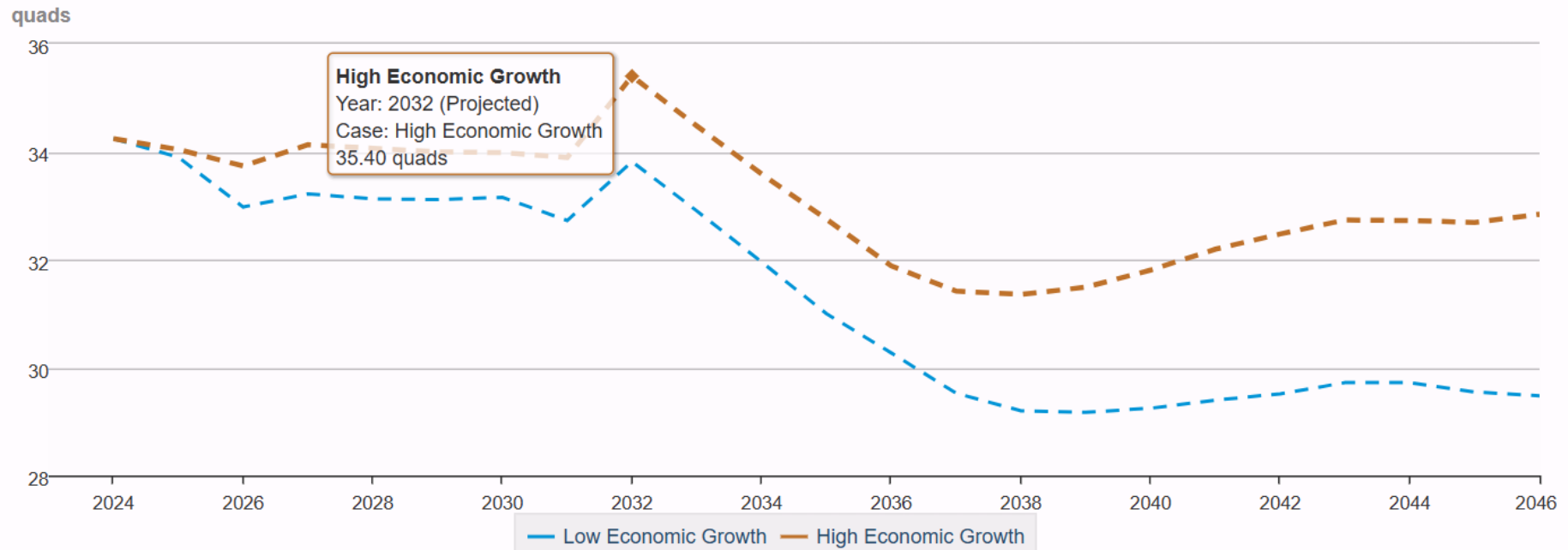
Source: U.S. Energy Information Administration, Total Energy Production from Natural Gas Plants

# Industry Overview: Annual Energy Outlook 2025, Total Energy Demand

- Natural gas demand faces pressure as small modular reactors (SMRs) are projected to begin electricity generation in the early 2030s within the U.S and renewable production is expected to rise.

AE02025: Total Energy: Use: Natural Gas

 DOWNLOAD



Data source: U.S. Energy Information Administration

Source: U.S. Energy Information Administration, AE02025 Total Energy Use. CNBC Spencer Kimball Article on Nuclear Reactors Mar. 2025

# Trading Comps

## ANTERO RESOURCES (AR) — TRADING COMPS vs APPALACHIAN PEERS

Data as of Q4 2025 Earnings / March 2026 | Sources: Company filings, Yahoo Finance, IR presentations

| PEER COMPARISON TABLE          |        |                  |                  |                        |                    |                     |                 |                   |                    |                 |                |                       |                     |
|--------------------------------|--------|------------------|------------------|------------------------|--------------------|---------------------|-----------------|-------------------|--------------------|-----------------|----------------|-----------------------|---------------------|
| Company                        | Ticker | Stock Price (\$) | Market Cap (\$B) | Enterprise Value (\$B) | 2025 EBITDAX (\$M) | 2026E EBITDAX (\$M) | 2026E FCF (\$M) | EV / 2025 EBITDAX | EV / 2026E EBITDAX | 2026E FCF Yield | Net Debt (\$B) | Leverage (ND/EBITDAX) | Production (Bcfe/d) |
| Antero Resources               | AR     | \$37.59          | \$11.4           | \$15.0                 | 2,400              | 3,200               | 1,200           | 6.3x              | 4.7x               | 10.5%           | \$3.6          | 1.5x                  | 4.10                |
| CNX Resources                  | CNX    | \$38.02          | \$5.5            | \$7.5                  | 1,200              | 1,335               | 550             | 6.3x              | 5.6x               | 10.0%           | \$2.0          | 1.7x                  | 1.68                |
| EQT Corporation                | EQT    | \$61.61          | \$38.5           | \$46.0                 | 5,900              | 6,500               | 3,500           | 7.8x              | 7.1x               | 9.1%            | \$7.7          | 1.3x                  | 6.40                |
| Expand Energy                  | EXE    | \$107.99         | \$26.0           | \$32.5                 | 5,078              | 5,500               | 1,800           | 6.4x              | 5.9x               | 6.9%            | \$4.5          | 0.9x                  | 7.50                |
| Range Resources                | RRC    | \$41.52          | \$9.8            | \$11.0                 | 1,525              | 1,700               | 700             | 7.2x              | 6.5x               | 7.1%            | \$1.2          | 0.8x                  | 2.38                |
| Peer Average (excl. AR)        |        |                  |                  |                        |                    |                     |                 | 6.9x              | 6.3x               | 8.3%            |                | 1.2x                  | 4.49                |
| AR Premium/(Discount) to Peers |        |                  |                  |                        |                    |                     |                 | -9.6%             | -25.2%             | 27.0%           |                | 28.8%                 |                     |

Source: Antero\_Modelv2.xlsx (Trading Comps); peer filings / Bloomberg / Yahoo

# Scenario Valuation (Bear/Base/Bull)

## ANTERO RESOURCES (AR) — SCENARIO VALUATION (Base / Bull / Bear)

Based on AR Q4 2025 Earnings Call guidance, HG acquisition, and strip pricing | March 2026

| KEY ASSUMPTIONS                | Bear    | Base    | Bull    |                                                                                            |
|--------------------------------|---------|---------|---------|--------------------------------------------------------------------------------------------|
| Henry Hub (\$/MMBtu)           | \$2.75  | \$3.50  | \$4.25  | AR guidance: \$0.10-\$0.20 premium to NYMEX; local basis \$0.74 back                       |
| Basis Differential (\$/MMBtu)  | -\$0.85 | -\$0.74 | -\$0.60 |                                                                                            |
| Realized Gas Price (\$/MMBtu)  | \$1.90  | \$2.76  | \$3.65  |                                                                                            |
| C3+ NGL Price (\$/Bbl)         | \$28.00 | \$33.50 | \$40.00 | Current ~\$34.45/bbl; \$5 move = ~\$225M FCF impact<br>2026 company guidance (maintenance) |
| Total Production (Bcfe/d)      | 4.1     | 4.1     | 4.1     |                                                                                            |
| PRODUCTION & REVENUE BUILD     |         |         |         |                                                                                            |
| 2026E Gas Production (Bcf/d)   | 2.8     | 2.8     | 2.8     | ~68% of 4.1 Bcfe/d total production<br>Per AR investor deck, ~215 MBbl/d C3+               |
| 2026E NGL Production (MBbl/d)  | 215     | 215     | 215     |                                                                                            |
| Gas Revenue (\$M)              | 1,942   | 2,821   | 3,730   |                                                                                            |
| NGL Revenue (\$M)              | 2,197   | 2,629   | 3,139   |                                                                                            |
| Total Revenue (\$M)            | 4,139   | 5,450   | 6,869   |                                                                                            |
| COST & FCF BUILD               |         |         |         |                                                                                            |
| Cash Costs (\$/Mcf)            | \$2.25  | \$2.01  | \$1.90  | PF cost ~\$2.01/Mcfe; bull assumes further synergies                                       |
| Total Cash Costs (\$M)         | 3,367   | 3,008   | 2,843   |                                                                                            |
| EBITDAX (\$M)                  | 772     | 2,442   | 4,026   | \$900M maint + \$100M no-JV + up to \$200M growth                                          |
| D&C Capex (\$M)                | 1,100   | 1,000   | 1,200   |                                                                                            |
| Interest & Other (\$M)         | 250     | 250     | 250     |                                                                                            |
| Free Cash Flow (\$M)           | (578)   | 1,192   | 2,576   |                                                                                            |
| VALUATION OUTPUT               |         |         |         |                                                                                            |
| Shares Outstanding (M)         | 303     | 303     | 303     | Peer avg ~6.3x on 2026E; discount for gas-weighted                                         |
| Target EV/EBITDAX Multiple     | 5.0x    | 6.5x    | 7.5x    |                                                                                            |
| Implied Enterprise Value (\$M) | 3,860   | 15,871  | 30,195  | Bear: no deleverage; Base: target <1x; Bull: aggressive paydown                            |
| Less: Net Debt (\$M)           | 3,600   | 3,000   | 2,500   |                                                                                            |
| Implied Equity Value (\$M)     | 260     | 12,871  | 27,695  |                                                                                            |
| TARGET PRICE (\$/share)        | \$0.86  | \$42.48 | \$91.40 |                                                                                            |
| Current Price (\$/share)       | \$37.59 | \$37.59 | \$37.59 |                                                                                            |
| UPSIDE / (DOWNSIDE) %          | (97.7%) | 13.0%   | 143.2%  |                                                                                            |

Source: Antero\_Modelv2.xlsx (Scenario Valuation); AR guidance per Investor Presentation

# Antero is Undervalued by 28.8%

|                                                                                                                                                                                                                                                             |                |                              |        |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|------------------------------|--------|
| AR Intrinsic Value                                                                                                                                                                                                                                          |                | 28.8 %<br>Upside             |        |
| What is the intrinsic value of AR?                                                                                                                                                                                                                          |                | 36.81 USD<br>Stock Price     |        |
| As of 2026-03-01, the Intrinsic Value of Antero Resources Corp (AR) is 47.43 USD. This AR valuation is based on the model Discounted Cash Flows (Growth Exit 5Y). With the current market price of 36.81 USD, the upside of Antero Resources Corp is 28.8%. |                | 47.43 USD<br>Intrinsic Value |        |
| The range of the Intrinsic Value is 32.36 - 87.71 USD.                                                                                                                                                                                                      |                |                              |        |
| Is AR undervalued or overvalued?                                                                                                                                                                                                                            |                |                              |        |
| Based on its market price of 36.81 USD and our intrinsic valuation, Antero Resources Corp (AR) is undervalued by 28.8%.                                                                                                                                     |                |                              |        |
| Intrinsic Value Details                                                                                                                                                                                                                                     |                |                              |        |
| AR Intrinsic Value - Valuation Summary                                                                                                                                                                                                                      |                |                              |        |
|                                                                                                                                                                                                                                                             | Range          | Selected                     | Upside |
| DCF (Growth Exit 5Y)                                                                                                                                                                                                                                        | 32.36 - 87.71  | 47.43                        | 28.8%  |
| DCF (Growth Exit 10Y)                                                                                                                                                                                                                                       | 48.12 - 124.31 | 68.98                        | 87.4%  |
| DCF (EBITDA Exit 5Y)                                                                                                                                                                                                                                        | 31.93 - 53.59  | 42.74                        | 16.1%  |
| DCF (EBITDA Exit 10Y)                                                                                                                                                                                                                                       | 43.79 - 72.93  | 57.65                        | 56.6%  |
| Peter Lynch Fair Value                                                                                                                                                                                                                                      | 51.41 - 51.41  | 51.41                        | 39.66% |
| P/E Multiples                                                                                                                                                                                                                                               | 29.16 - 45.58  | 36.01                        | -2.2%  |
| EV/EBITDA Multiples                                                                                                                                                                                                                                         | 20.28 - 42.34  | 31.36                        | -14.8% |
| Earnings Power Value                                                                                                                                                                                                                                        | 23.68 - 33.35  | 28.52                        | -22.5% |
| Dividend Discount Model - Stable                                                                                                                                                                                                                            | 20.15 - 64.24  | 42.19                        | 14.6%  |
| Dividend Discount Model - Multi Stages                                                                                                                                                                                                                      | 36.39 - 91.69  | 52.28                        | 42.0%  |

Source: <https://valueinvesting.io/AR/valuation/intrinsic-value>

# Output (Target -> Upside)

**TARGET PRICE (\$/share)**

**\$0.86**

**\$42.48**

**\$91.40**

**Current Price (\$/share)**

**\$37.59**

**\$37.59**

**\$37.59**

**UPSIDE / (DOWNSIDE) %**

**(97.7%)**

**13.0%**

**143.2%**



# Catalysts Timeline (“When”)

## ANTERO RESOURCES (AR) — CATALYSTS & TIMELINE

*What / Why / So What / When — The 'So What' & 'When' Prof. Cheah Requires*

### NEAR-TERM CATALYSTS (0-3 Months)

| Timeframe     | Catalyst                                            | Impact                                               | Magnitude | Status     | Source                        |
|---------------|-----------------------------------------------------|------------------------------------------------------|-----------|------------|-------------------------------|
| Feb 2026      | HG Energy acquisition closed                        | +850 MMcfe/d production, +385k acres, 400+ locations | High      | COMPLETE ✓ | AR Q4 2025 Press Release      |
| Late Feb 2026 | Ohio Utica divestiture closing                      | ~\$800M proceeds → debt reduction + fund HG          | High      | Expected ✓ | AR 8-K filing                 |
| Jan 2026      | Inaugural IG bond issuance (\$750M, 5.40% due 2036) | Lower cost of capital, financial flexibility         | Medium    | COMPLETE ✓ | AR Press Release Jan 13, 2026 |
| Q1 2026       | Updated 2026 guidance + hedge book disclosure       | Validates FCF trajectory; 60% gas hedged at ~\$3.92  | Medium    | COMPLETE ✓ | AR Q4 2025 Earnings Call      |

### MID-TERM CATALYSTS (3-12 Months)

|          |                                                        |                                                   |        |             |                                           |
|----------|--------------------------------------------------------|---------------------------------------------------|--------|-------------|-------------------------------------------|
| H1 2026  | Leverage drops below 1.0x as guided                    | IG credit affirmed; lower cost of debt; re-rating | High   | PENDING     | AR Q4 2025 Earnings Call guidance         |
| H1 2026  | HG synergy capture begins (\$950M PV-10 total)         | Cost reduction ~\$0.25/Mcfe, margin expansion     | High   | IN PROGRESS | AR Strategic Transactions Deck, Dec 2025  |
| Mid-2026 | Basis tightening continues (TGP 500L +\$0.66 premium)  | Higher realized prices → FCF upside               | Medium | MONITORING  | AR Q4 Earnings Call — Justin Fowler       |
| H2 2026  | Discretionary growth capital decision (\$200M, 3 pads) | If \$3+ gas: +200 MMcfe/d → 4.3 Bcfe/d in 2027    | Medium | OPTION      | AR Q4 2025 Earnings Call — Dan Katzenberg |
| 2026     | East region storage normalization below 5-yr avg       | Tighter local basis, higher in-basin pricing      | Medium | MONITORING  | AR Q4 Earnings Call — Justin Fowler       |

### LONG-TERM CATALYSTS (12-24 Months)

|           |                                                |                                                               |        |         |                                               |
|-----------|------------------------------------------------|---------------------------------------------------------------|--------|---------|-----------------------------------------------|
| 2027      | Production growth to 4.3-4.5 Bcfe/d            | Revenue + EBITDAX step-up; inventory extension                | High   | GUIDED  | AR 2027 guidance                              |
| 2026-2028 | LNG demand +23 Bcf/d (Golden Pass + others)    | AR has 2 Bcf/d FT to LNG corridor; 75% of gas to LNG paths    | High   | SECULAR | AR Investor Presentation; 3rd party estimates |
| 2026-2030 | Data center + power demand +8 Bcf/d regionally | AR is <100 miles from Data Center Alley; selling to utilities | High   | SECULAR | AR Investor Presentation                      |
| 2027+     | NGL supply growth decelerates (131k→45k bbl/d) | Supports C3+ pricing; AR has 125k bbl/d C3+                   | Medium | SECULAR | AR Q4 Earnings — David Cannellongo            |
| 2026-2028 | Term Loan A paid down by hedged HG FCF         | \$1.5B term loan fully repaid → further deleverage            | High   | FUNDED  | AR Strategic Transactions Deck                |

Source: Antero\_Modelv2.xlsx

# Risks & Mitigants

## ANTERO RESOURCES (AR) — KEY RISKS & MITIGANTS

Top 5 risks with specific mitigating factors | Sources: AR filings, earnings calls, and investor presentations

| # | Risk                                   | Description                                                                                                 | Severity      | Mitigant                                                                                                                                                                                           | Quantified Impact                                                                                           |
|---|----------------------------------------|-------------------------------------------------------------------------------------------------------------|---------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------|
| 1 | <b>Commodity Price Risk (Gas)</b>      | Henry Hub declines to <\$3/MMBtu, compressing EBITDAX and FCF significantly                                 | <b>HIGH</b>   | 40% of 2026 gas hedged via swaps at \$3.92/MMBtu + 20% collars \$3.24-\$5.70. 2027: ~30% hedged at high \$3s. Cost structure at \$2.01/Mcfe provides margin cushion.                               | Hedges protect ~\$1.5B+ revenue floor. \$1 gas move ≈ ~\$1B annual revenue impact on open volumes.          |
| 2 | <b>NGL Price Sensitivity</b>           | Propane/C3+ prices decline due to oversupply or reduced exports, hitting ~32% of AR's revenue               | <b>HIGH</b>   | U.S. C3+ supply growth decelerating (131k→45k bbl/d by 2027). LPG export capacity expansion removes bottlenecks through 2028. 50% of NGLs exported globally.                                       | Mgmt: \$5/bbl C3+ move = ~\$225M annual FCF impact (\$228M revenue). Current C3+ at ~\$34.45/bbl.           |
| 3 | <b>Integration / Synergy Risk (HG)</b> | HG acquisition synergies (\$950M PV-10) take longer to realize, or costs are higher than expected           | <b>MEDIUM</b> | Overlapping acreage = clear synergies (longer laterals, wider spacing, pad optimization). CEO visited HG field and reported 'better than expectations.' Adjacent, not new basin.                   | \$290M D&C savings + \$250M dev optimization + \$140M marketing + \$85M water + \$185M other = \$950M PV-10 |
| 4 | <b>Leverage / Refinancing Risk</b>     | New \$1.5B Term Loan A + \$750M Sr Notes increase debt; potential rating downgrade if gas prices fall       | <b>MEDIUM</b> | IG ratings reaffirmed by all agencies (BBB/Baa1). Utica proceeds (\$800M) + hedged HG FCF pays down Term Loan by 2028. Leverage expected <1.0x by end 2026.                                        | Term Loan A: 3-year maturity, prepayable. Debt/EBITDAX target <1.0x in 2026.                                |
| 5 | <b>Basis / Transport Risk</b>          | M2 basis widens if Appalachian supply outpaces takeaway capacity; realized prices decline relative to NYMEX | <b>MEDIUM</b> | Basis currently \$0.74 back (vs 5Y avg \$0.88 back) — tightening. AR has 2 Bcf/d FT to Gulf Coast LNG corridor. TGP 500L premium \$0.66 above HH. Local demand growth supports further tightening. | Feb PECO settled at just \$0.15 back to HH — tightest in 10 years.                                          |

### SENSITIVITY TORNADO (Key Drivers → FCF Impact)

| Driver              | Unit Change         | Annual FCF Impact (\$M)         | Source                                 |
|---------------------|---------------------|---------------------------------|----------------------------------------|
| Henry Hub gas price | +/-<br>\$1.00/MMBtu | ~\$1,000M (on unhedged volumes) | AR earnings call, estimated            |
| C3+ NGL price       | +/-<br>\$5.00/Bbl   | ~\$225M                         | AR Q4 2025 Earnings — David Cannelongo |

Source: Team analysis; AR filings/presentations

# Risk-adjusted return (Sharpe/Sortino)

## ANTERO RESOURCES (AR) — RISK-ADJUSTED RETURN ANALYSIS

Sharpe & Sortino Ratios | AR vs SPY vs XOP | Risk-Free Rate: 4.25% (10Y Treasury)

| HISTORICAL RETURN COMPARISON      |         |                                                                                    |       |                                                           |
|-----------------------------------|---------|------------------------------------------------------------------------------------|-------|-----------------------------------------------------------|
| Metric                            | AR      | SPY                                                                                | XOP   | Notes                                                     |
| 1-Year Total Return               | 45.0%   | 22.0%                                                                              | 15.0% | AR outperformed market and energy ETF over trailing 1Y    |
| 3-Year Annualized Return          | 8.0%    | 12.0%                                                                              | 5.0%  | AR underperformed SPY over 3Y due to 2023-24 gas downturn |
| 5-Year Annualized Return          | 35.0%   | 14.0%                                                                              | 18.0% | AR massively outperformed from 2021 COVID lows            |
| Annualized Volatility (1Y)        | 48.0%   | 15.0%                                                                              | 30.0% | AR is ~3x SPY vol; typical for E&P names                  |
| Downside Deviation (1Y)           | 32.0%   | 10.0%                                                                              | 22.0% | Used for Sortino calculation                              |
| RISK-ADJUSTED METRICS             |         |                                                                                    |       |                                                           |
| Risk-Free Rate                    | 4.3%    | 4.3%                                                                               | 4.3%  | Current ~10-Year US Treasury yield                        |
| Sharpe Ratio (1Y)                 | 0.85    | 1.18                                                                               | 0.36  | Sharpe = (Return - Rf) / Volatility                       |
| Sortino Ratio (1Y)                | 1.27    | 1.78                                                                               | 0.49  | Sortino = (Return - Rf) / Downside Deviation              |
| EXPECTED RETURN (FORWARD-LOOKING) |         |                                                                                    |       |                                                           |
| Base Case Target Price            | \$42.48 |                                                                                    |       |                                                           |
| Current Price                     | \$37.59 |                                                                                    |       |                                                           |
| Expected Price Return             | 13.0%   | 12-24 month horizon; sensitive to target multiple assumption (currently 5.0x)      |       |                                                           |
| Expected Forward Sharpe           | 0.18    | Negative = base multiple too conservative vs peers at 6.3x; adjust in Scenario tab |       |                                                           |

Source: Antero\_Modelv2.xlsx (Risk-Adjusted Returns); price data source per model

# Raymond James reiterates Strong Buy on Antero Resources stock after acquisition

By Investing.com | [Analyst Ratings](#)

Published 12/09/2025, 05:03 AM

## JP Morgan Maintains Antero Resources (AR) Overweight Recommendation

October 02, 2025 — 08:05 pm EDT

Written by **George Maybach** for Fintel →



Fintel reports that on October 2, 2025, JP Morgan [maintained](#) coverage of Antero Resources ([NYSE:AR](#)) with a **Overweight** recommendation.



### Analyst Price Forecast Suggests 35.70% Upside



As of September 29, 2025, the average one-year [price target](#) for Antero Resources is \$45.45/share. The forecasts range from a low of \$32.32 to a high of \$60.90. The average price target represents an increase of 35.70% from its latest reported closing price of \$33.49 / share.



Source: [https://www.investing.com/news/analyst-ratings/raymond-james-reiterates-strong-buy-on-antero-resources-stock-after-acquisition-93CH-4397871?utm\\_source=chatgpt.com](https://www.investing.com/news/analyst-ratings/raymond-james-reiterates-strong-buy-on-antero-resources-stock-after-acquisition-93CH-4397871?utm_source=chatgpt.com)

[https://www.nasdaq.com/articles/jp-morgan-maintains-antero-resources-ar-overweight-recommendation?utm\\_source=chatgpt.com](https://www.nasdaq.com/articles/jp-morgan-maintains-antero-resources-ar-overweight-recommendation?utm_source=chatgpt.com)

# Income Statement Analysis

| Income Statement<br>(Fiscal Year Ending in December) | Annual<br>Trend | 2025       | 2024       | 2023                   | 2022                   | 2021       |
|------------------------------------------------------|-----------------|------------|------------|------------------------|------------------------|------------|
|                                                      |                 | 12/31/2025 | 12/31/2024 | 12/31/2023<br>Restated | 12/31/2022<br>Restated | 12/31/2021 |
| Total Revenue                                        |                 | 5,276      | 4,326      | 4,682                  | 7,138                  | 4,619      |
| Total Operating Expense                              |                 | 4,400      | 4,326      | 4,286                  | 4,645                  | 4,743      |
| Total Operating Income                               |                 | 876        | (0.07)     | 396                    | 2,493                  | (123)      |
| Income Before Tax                                    |                 | 890        | (24)       | 361                    | 2,440                  | (228)      |
| Net Income After Taxes                               |                 | 675        | 94         | 297                    | 1,999                  | (154)      |
| Net Income Before Extra Items                        |                 | 634        | 57         | 198                    | 1,872                  | (187)      |
| Net Income                                           |                 | 634        | 57         | 198                    | 1,872                  | (187)      |
| Income Available to Common Excl. Extra. Items        |                 | 634        | 57         | 198                    | 1,872                  | (187)      |
| Income Available to Common Incl. Extra. Items        |                 | 634        | 57         | 198                    | 1,872                  | (187)      |
| Pro Forma Net Income                                 |                 | --         | --         | --                     | --                     | --         |
| Normalized Income Before Tax                         |                 | 956        | 29         | 465                    | 2,662                  | 11.67      |
| Normalized Income After Tax                          |                 | 724        | 128        | 383                    | 2,180                  | 1.80       |
| Normalized Income Avail To Common                    |                 | 684        | 92         | 284                    | 2,053                  | (31)       |

- AR is clearly **highly exposed to natural gas pricing cycles**.
- Margins are **very cyclical**, but Antero Resources remains profitable even in weak pricing environments — that's a strength.

Source: <https://client.schwab.com/app/research/#!/stocks/AR>

# Balance Sheet Analysis

| Balance Sheet<br>(Fiscal Year Ending in December) | Annual<br>Trend                                                                   | 2023<br>12/31/2023<br>Restated<br>12/31/2024 |                    |                    |                    |                    |
|---------------------------------------------------|-----------------------------------------------------------------------------------|----------------------------------------------|--------------------|--------------------|--------------------|--------------------|
|                                                   |                                                                                   | 2025<br>12/31/2025                           | 2024<br>12/31/2024 | 2023<br>12/31/2023 | 2022<br>12/31/2022 | 2021<br>12/31/2021 |
| Total Current Assets                              |  | 832                                          | 508                | 476                | 788                | 686                |
| Total Assets                                      |  | 13,245                                       | 13,010             | 13,517             | 14,118             | 13,897             |
| Total Current Liabilities                         |  | 1,503                                        | 1,446              | 1,452              | 1,775              | 2,068              |
| Total Debt                                        |  | 1,401                                        | 1,492              | 1,541              | 1,186              | 2,126              |
| Total Liabilities                                 |  | 5,695                                        | 5,988              | 6,616              | 7,363              | 8,139              |
| Total Equity                                      |  | 7,551                                        | 7,022              | 6,902              | 6,755              | 5,757              |
| Total Liabilities & Shareholders' Equity          |  | 13,245                                       | 13,010             | 13,517             | 14,118             | 13,897             |

- No aggressive asset growth or impairment shocks — stable asset base.
- Debt: They aggressively delevered after 2021 and have maintained lower leverage since.
- Major structural improvement in leverage going from 8,139 in 2021 to 5,695 in 2025.
- Equity has steadily grown despite commodity downturn.

Source: <https://client.schwab.com/app/research/#!/stocks/AR>

# Cash Flow Statement Analysis

| Cash Flow Statement<br>(Fiscal Year Ending in December) | Annual<br>Trend                                                                   | 2025<br>12/31/2025 | 2024<br>12/31/2024 | 2023<br>12/31/2023 | 2022<br>12/31/2022 | 2021<br>12/31/2021 |
|---------------------------------------------------------|-----------------------------------------------------------------------------------|--------------------|--------------------|--------------------|--------------------|--------------------|
| Total Cash from Operations                              |  | 1,631              | 849                | 995                | 3,051              | 1,660              |
| Total Cash from Investing                               |  | (1,078)            | (714)              | (1,141)            | (944)              | (711)              |
| Total Cash from Financing                               |  | (343)              | (135)              | 146                | (2,108)            | (949)              |
| Net Change in Cash                                      |  | 210                | 0.00               | 0.00               | 0.00               | 0.00               |

- Even in weaker cash flow years, Cash Flow from Operations remains positive and strong.
- Negative Cash Flow from Financing shows company is taking steps to draw down debt.

| Feature    | AR Sentiment  | Why?                                            |
|------------|---------------|-------------------------------------------------|
| Valuation  | Undervalued   | Lower P/E and P/B than the market.              |
| Growth     | High/Volatile | Massive 1-year recovery; high future forecasts. |
| Efficiency | Below Average | Lower ROE and ROA than the index.               |
| Safety     | High          | Very low debt-to-capital ratio.                 |

Source: <https://client.schwab.com/app/research/##/stocks/AR>

## METRICS

Source: Refinitiv

### VALUE METRICS

|                          | AR   | S&P 500 |
|--------------------------|------|---------|
| P/E last 4Q              | 18.2 | 45.2    |
| P/E forecast EPS         | 11.4 | 35.8    |
| P/Free Cash Flow last 4Q | 20.4 | 142.0   |
| P/Sales last 4Q          | 2.15 | 8.25    |
| Price/Book               | 1.5  | 16.2    |
| Dividend Yield(%)        | --   | 1.4     |

### GROWTH METRICS (%)

|                                 |        |      |
|---------------------------------|--------|------|
| 1 year sales growth             | 22.0   | 14.6 |
| 3 year sales growth             | -9.6   | 15.8 |
| 1 year EPS growth               | 2576.0 | 49.6 |
| 3 year EPS growth               | -29.0  | 28.8 |
| 1-year forecast EPS growth      | 88.0   | 22.2 |
| Long term growth rate 3-5 years | 52.1   | --   |
| 1 year dividend growth          | --     | 12.6 |
| 3 year dividend growth          | --     | 11.8 |

### MOMENTUM METRICS (%)

|                            |      |     |
|----------------------------|------|-----|
| 4 week stock price change  | 1.2  | -.9 |
| 26 week stock price change | 15.3 | 6.5 |

### FINANCIAL METRICS (%)

|                            |      |       |
|----------------------------|------|-------|
| Gross margin               | 70.9 | 53.6  |
| Net margin                 | 12.8 | 22.9  |
| Return on assets           | 5.1  | 17.0  |
| Return on equity           | 8.7  | 155.9 |
| Return on invested capital | 5.9  | 24.4  |
| Long-term debt/capital     | .15  | .39   |

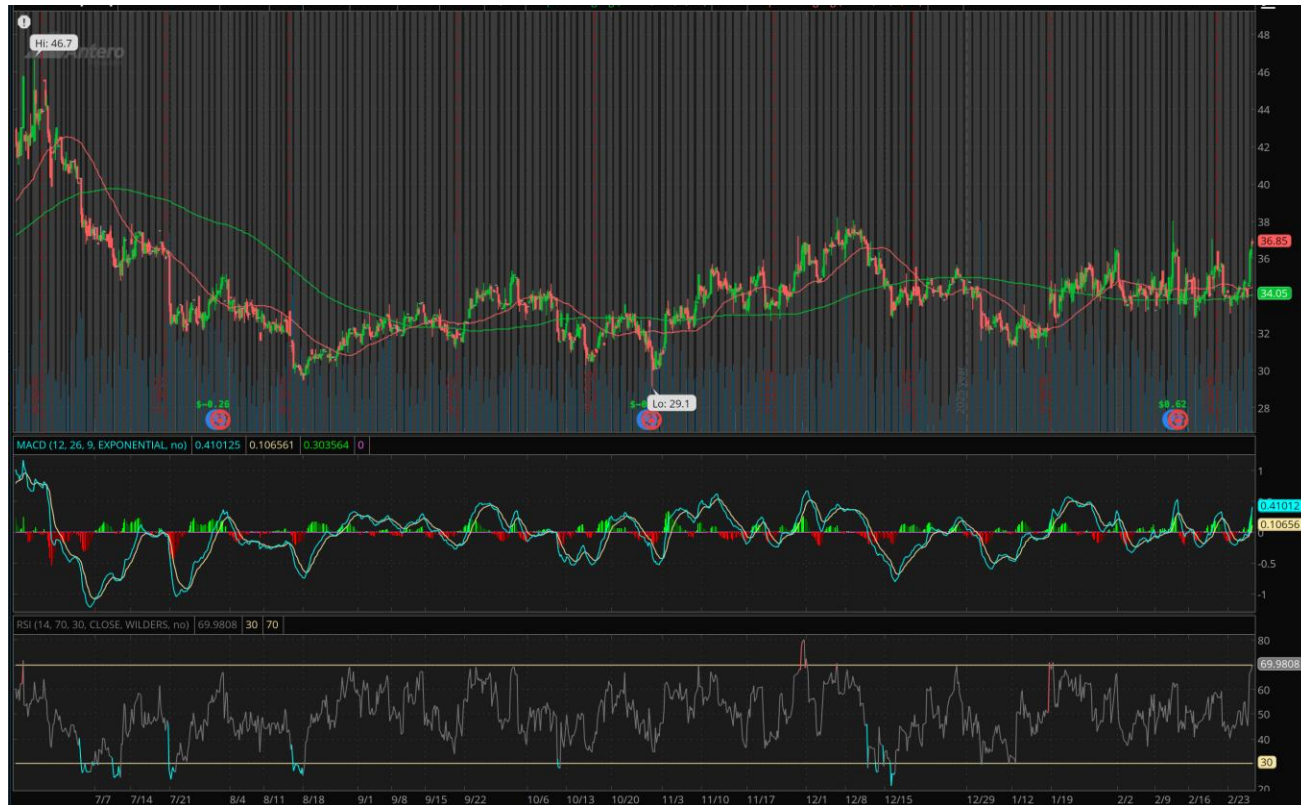


# Technical Analysis (3 Years)



The stock price has crossed the 200 day SMA (Green) and the 50 day SMA providing a resistance level over a 3 year time frame.

# Technical Analysis (180 days)



The stock price has crossed the 200 day SMA (Green) and the 50 day SMA providing a resistance level over the 180 day time frame.

Source: Charles Schwab ThinkOrSwim

# Total Natural Gas Supply, Breakdown of Middle East Production

| Total natural gas supply, regional ranking, 2023 |                      |                  |                |
|--------------------------------------------------|----------------------|------------------|----------------|
|                                                  |                      | Regional ranking | Global ranking |
| Rank                                             | Country/Region       | TJ               | %              |
| -                                                | Middle East          | 20530187         |                |
| 1                                                | Iran                 | 9224744          | 44.9           |
| 2                                                | Saudi Arabia         | 3640348          | 17.7           |
| 3                                                | United Arab Emirates | 2400721          | 11.7           |
| 4                                                | Qatar                | 1687132          | 8.2            |
| 5                                                | Oman                 | 1076386          | 5.2            |
| 6                                                | Kuwait               | 944262           | 4.6            |
| 7                                                | Iraq                 | 705546           | 3.4            |
| 8                                                | Bahrain              | 596527           | 2.9            |
| 9                                                | Jordan               | 127236           | 0.6            |
| 10                                               | Syria                | 126558           | 0.6            |

# Total Natural Gas Supply, Global Production Ranking

| Total natural gas supply, global ranking, 2023 |                    |                    |             |                |
|------------------------------------------------|--------------------|--------------------|-------------|----------------|
|                                                |                    | Regional ranking   |             | Global ranking |
| Rank                                           | Country/Region     | TJ                 | %           |                |
| -                                              | <b>World</b>       | <b>144 146 098</b> |             |                |
| 1                                              | United States      | 32 042 963         | 22.2        |                |
| <b>2</b>                                       | <b>Middle East</b> | <b>20 530 187</b>  | <b>14.2</b> |                |
| 3                                              | Russia             | 17 299 683         | 12.0        |                |
| 4                                              | China              | 13 349 463         | 9.3         |                |
| 5                                              | Iran               | 9 224 744          | 6.4         |                |
| 6                                              | Canada             | 5 003 949          | 3.5         |                |
| 7                                              | Saudi Arabia       | 3 640 348          | 2.5         |                |
| 8                                              | Japan              | 3 341 205          | 2.3         |                |
| 9                                              | Mexico             | 3 251 542          | 2.3         |                |
| 10                                             | Germany            | 2 682 130          | 1.9         |                |

# Investment Recommendation

- Heightened geopolitical supply risk uniquely positions U.S.-based gas producers over the six to twenty-four months.
- Antero Resources' Appalachia footprint is well positioned to serve Mid-Atlantic power demands and Northern Virginia data center alley.
- Antero Resources has strong upside within the market due to their current capital efficiency capabilities, adoption of innovative drilling techniques, and continued emphasis on lowering their overall production costs.

# Conclusion: BUY Antero Resources (AR)

| Rating                 | BUY (12-24 months) |
|------------------------|--------------------|
| Current Price          | \$37.59            |
| Base-Case Target Price | \$42.48            |
| Implied Upside         | +13.0%             |

- **Key risk:** sustained Henry Hub < ~\$3 and/or weaker NGL pricing compresses FCF and delays deleveraging.
- **Demand tailwind -> higher realized prices:** LNG + data center/power demand tightens U.S. gas balances into 2026–2030.
- **Cost step-change + synergies from HG:** ~\$0.25/Mcfe cost reduction + ~\$950mm PV-10 synergies -> margin/FCF expansion.
- **Downside protection + flexibility:** hedges + ability to defer/accelerate growth capex depending on gas prices.
- **H1 2026:** leverage guided below **1.0x** → supports re-rating.
- **Mid-2026:** basis tightening / pricing improves → FCF upside.
- **H2 2026:** growth capex decision (optional) if gas stays strong.